

SESSION 5. CAPTURING AND CREATING VALUE IN THE VERTICAL CHAIN. BARGAINING.

COLA WARS. SHIMANO

Competitive Strategy

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OUTLINE

I. Capturing value

How to structure the game to ensure value capture

II. To capture or to create?

Cooperation is often important

Particularly when specific investments matter

CAPTURING MORE VALUE BY SHAPING THE GAME

- Can move beyond taking industry structure (Five forces/ PIE) as given
- Unlike poker or sports, there are no written rules
 - Can CHANGE THE GAME being played

PARTS

- Can shape/change several aspects
- PARTS (Brandenburger and Nalebuff)

- Players
- Added Values
- Rules
- Tactics
- Scope of the game

Try to use this as a key framework moving forth from this chapter to

SHAPING THE GAME: PLAYERS

- Players
 - Becoming a new player changes the game
 - Bring in new player on the other side to increase your own power
 - Example: NutraSweet
 - Competition is valuable to others:
 - Pay yourself to play!
 - How?
 - Cash
 - Contribution to upfront expenses
 - Guaranteed sales contract
 - Access to people
 - Access to information

How much is this company worth with me and how much without me?

SHAPING THE GAME: ADDED VALUES

Example: Nintendo in 8 bit

Suppliers: A chip producer

Buyers: Retailers

Complementors: Game Designers

SHAPING THE GAME: ADDED VALUES

Nintendo in 8 bit: Key choices/partners

Suppliers: A chip producer

A commodity chip producer using old technology

Buyers: Retailers

Scarcity of games; price level given

Complementor: Game Designers

Produced games

Limited titles per software developer

Limited number of developers

SHAPING THE GAME: ADDED VALUES

- Added Values: Example – Cards Game
 - Player A has 26 red cards
 - 26 other players have 1 black card
 - A red card and a black card together are worth \$100
 - Who will get what?

SHAPING THE GAME: ADDED VALUES (2)

- Added Values: Example – Cards Game (2)
 - Player A destroys three cards
 - What changes?
 - Example: Nintendo's strategy in 8 bits

SHAPING THE GAME: ADDED VALUES (3)

- What you get is based on your added value

Added value

=

total value with you minus total value without you

- Put yourself in the shoes of others to see what you bring to them

SHAPING THE GAME: ADDED VALUES (4)

- IN cards game (1):
 - A's added value is \$2,600
 - Each person with a black card has added value of \$100
 - Their total added value is \$2,600
 - The game is symmetric

Player A; By destroying 3 of his 26 red cards, the game becomes asymmetric, shifting the negotiation power away from Black cards. (akin to Nintendo not wanting to use an advanced chip (because it will give this chip supplier too much bargaining power))

- In cards game (2):
 - A's added value is \$2,300
 - Each person with a black card has a 0 added value
 - A does much better!

26x100

Game 1; 52 cards, each worth \$50. A has \$1300 value.

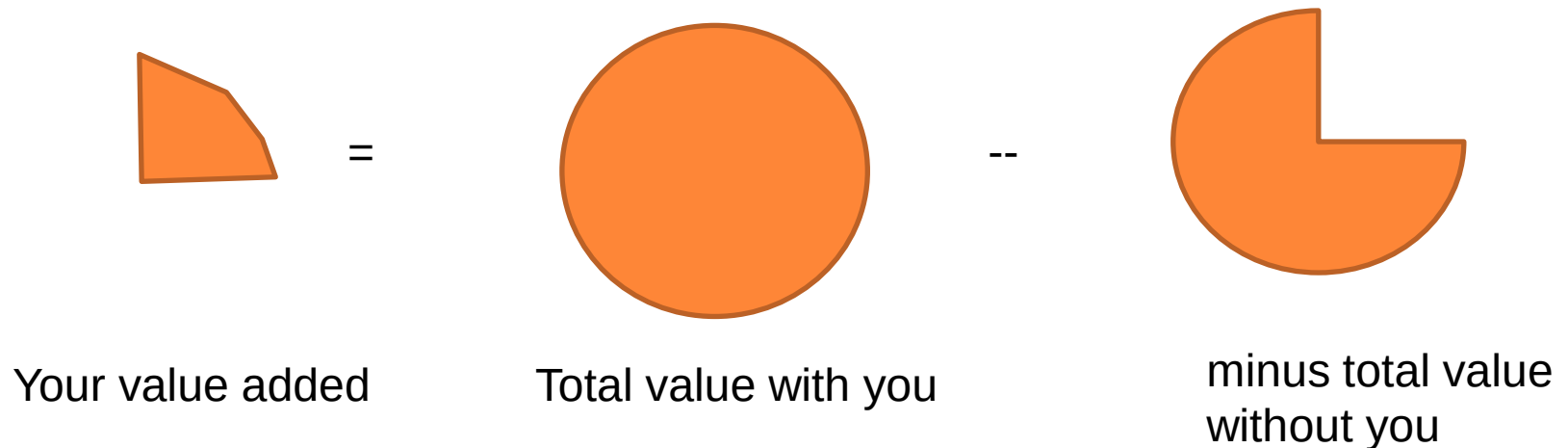
Game 2; each red card is latently worth \$100, making the game worth \$2300.

- player A then offers black card holder \$10 each, and they will accept (because \$10 is better than zero). then Player A can take 90% of the value worth \$2030, compared to earlier \$1300.

VALUE ADDED BY A PLAYER:

A player (e.g. a firm) cannot take more than its value added

- What a player gets is based on his added value



VALUE CAPTURE AND ADDED VALUE

Value added is *not* simply $WTP - Cost$

It is the wedge between those, and the $(WTP - Cost)$ of my rivals!

- Example: Holland Sweetener entry in sweetener market

For value added, it is crucial who else is there:

if rivals can produce the same quality at a lower cost, or attain better quality at same cost, then my value added is 0

even if I create a huge value, that is even if $WTP - Cost$ is huge

To capture value, need uniqueness!

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PARTS!

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II. TO CAPTURE OR TO CREATE?

Players
Added value
rules
tactic
scope of game

- Traditional industry analysis (5 Forces) focuses on value capture.
 - The better able are incumbents to exert power over their exchange partners, the better.
- *But this assumes:*
 - A fixed PIE.
 - Acting to capture value does not impact value created.

TO CAPTURE OR TO CREATE?

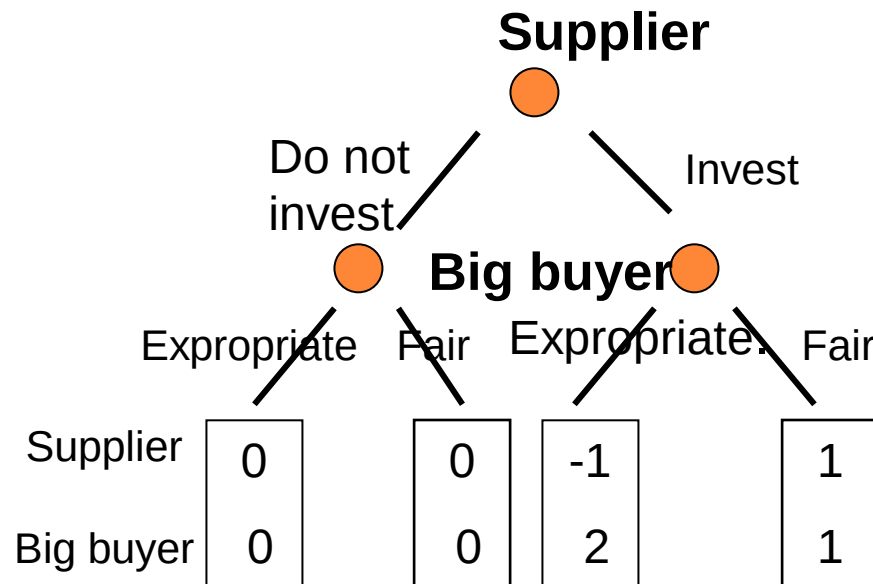
Like how the Red player burned 3 cards.

Or Nintendo intentionally work with a weaker (lower tech) supplier.

- *In reality:*
 - PIE growth is obviously desirable.
 - Acting to capture value may **lower** value created.
- In particular:
 - The vertical 'architect' often must give up power in order to give weaker members of the chain sufficient incentives to make *relationship* or *chain-specific* investments.
 - This is the case when the supply and purchase relations are repeated.

THE PROBLEM: HOLD UP

Those who make relation specific investments must be protected from expropriation.



Supplier fears that the big buyer may be fair for the start, but then expropriate the relation after awhile (then the supplier (key decision maker) goes into loss.

At expropriate / Invest outcome, there is value destroyed overall, but big buyer gains a lot of profit from this exploitation.

Then as a Big Buyer, there is value in showing supplier that we will be Fair. How do we do this?

THE PROBLEM: HOLD UP

Hold ups; contracts to 'hold' and deter any wayward intentions. Example; Marriage, Employment contracts, etc.

Those who make relation specific investments must be protected from expropriation.

		<u>Supplier</u>	
		Invest	Don't invest
<u>Big Firm</u>	Treat Fairly	1, 1	0, 0
	Expropriate	2, -1	0, 0

Like a PD! (expropriate a dominant strategy)

WHEN IS HOLD UP MORE LIKELY?

- Conditions that make hold-up likely/important
 - **Asset Specificity** – Relationship-specific investments
 - A specialized asset is tailor-made for one or a few specific buyers
 - Opportunities for exploitation are greater when one firm is wholly dependent on another
 - Specific physical capital, specific human capital, site-specific capital
 - A lot of **uncertainty**– defection more likely to take place as the world changes
 - Contracts are highly **incomplete**
 - Formal contract leaves out a lot of contingencies that parties did not think likely

Layman terms; who has more power?
how to govern against incomplete contract? or take uncertainty into consideration?

RECALL PD

The 'low years in jail option' is dominated, like the 'treat him fairly after he is stuck with me' option in the invest with specific investments

Prisoner B

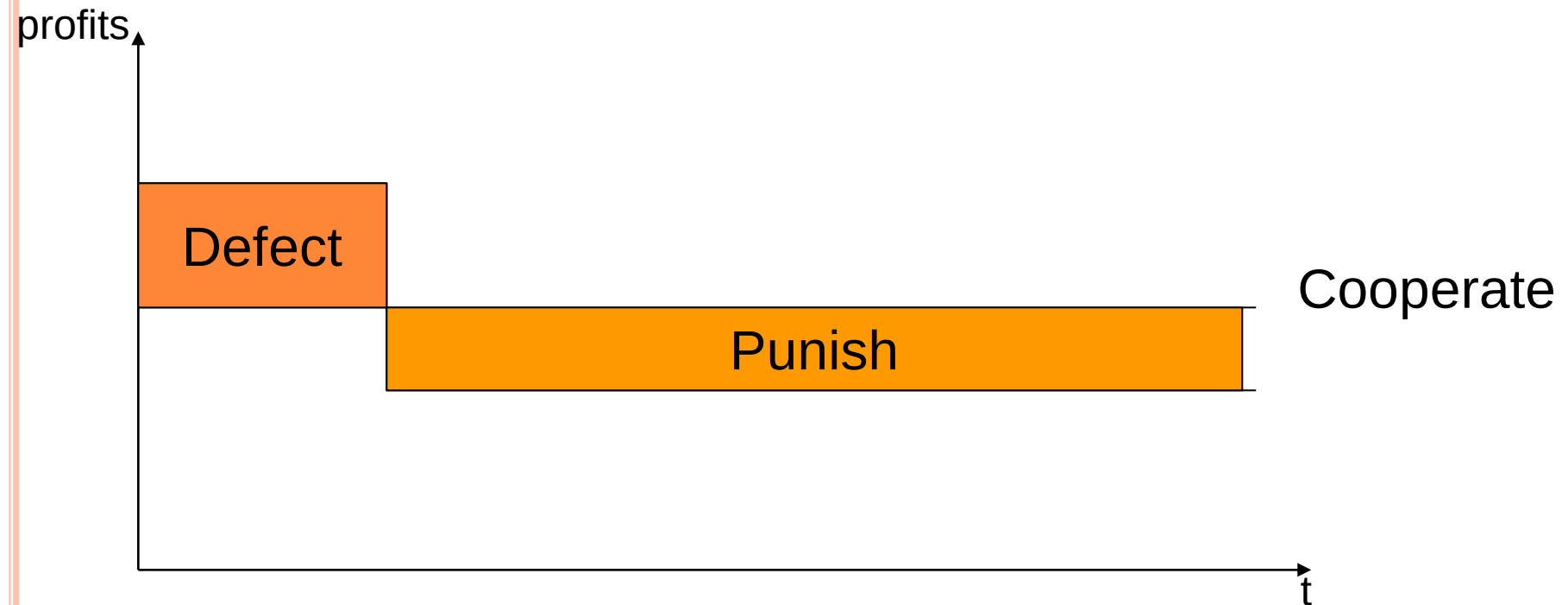
		Deny	Confess (=betray)
<u>Prisoner A</u>	Deny	-3, -3	-25, -1
	Confess (=betray)	-1, -25	-10, -10

LIKE ON PRICE WARS S.3 – NEED FOR TRUST

- Recall: one-shot game:
 - Dominant strategy to betray/defect
 - Key issue: individual incentives ends up hurting both.
- In repeated play, people may cooperate

REPEATED PLAY

In a repeated game, where players can extrapolate the number of turns, they will logically evaluate about which payoff is larger, Defect or Punish.



=> Worry about future cooperation keeps you honest

A RELATIONAL CONTRACT

- A contract where people cooperate over time without defecting (e.g. a supplier and a buyer) is called a
 - “relational” or “implicit” contract
- A contract without courts/without paper:
 - You cooperate because you know you’ll be punish with defections without it

RELATIONAL CONTRACTS: IMPLICATIONS

- Importance of future is key
 - Discount factor: if your continued existence is at risk, you are more willing to defect (e.g. GM)
 - Value of future business = growing the business
- Uncertainty is bad
- Building a reputation = providing small occasions on which the most extreme types of people (the ones who take advantage of you) will defect

TO CAPTURE OR TO CREATE?

- Whether a firm is in value-capture or value-creation mode often depends on the time in its development.
 - For instance, it often makes sense to develop relationships as one is building a market but then shift to a more extractive mode

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Capturing value

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Specific Investments

Relational contracts